

immigrant to Canada.”

What’s most remarkable about this is Ma bought 20 percent of the company when he became president. Altogether, he owned 29 percent of the firm. As an owner-operator, he had every incentive to make the stock work.

Maloney goes through a number of reasons why MTY was successful.

It starts with Ma. But it was a remarkable opportunity on many other levels as well. Here are a few attributes I’ve chosen from Maloney’s more extensive list:

- Stock traded for two times forward earnings (cheap!)
- Business was a cash cow with 70 percent gross margins
- Long runway — MTY was just a tiny fraction of the fast-food industry

Ma created new restaurant concepts (5, all told) and bought others (19, eventually). The names and details are not important. What’s important is that these new and acquired concepts allowed MTY to increase its number of locations. These businesses generated high profits. So, taking those profits and reinvesting them created a flywheel of rapidly growing revenues and earnings. You can see this clearly in the table on the next page, “MTY’s path to coveted 100-bagger status.”

Maloney makes an interesting observation here:

Earnings per share grew by a factor of 12.4x. But if the company only grew earnings by 12.4x, how did the stock grow 100x? The answer lies in the price to earnings (P/E) multiple expansion. Investors in MTY went from paying roughly 3.5x earnings when it was left for dead in 2003 to a more optimistic 26x earnings in 2013.

MTY’s path to coveted 100-bagger status

Revenues	# of			
(mill)	EPS	locations	Share	Price
2003	\$11.50	\$0.10	260	\$0.34
2004	\$15.50	\$0.19	420	\$2.50
2005	\$18.62	\$0.27	527	\$3.85
2006	\$22.40	\$0.33	784	\$6.40
2007	\$30.53	\$0.48	825	\$12.63